

Alice Friedrich

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Involved with Lexington, El Campo and many others.

Connected with Peggy Guenther who works at CSB

Alice is a bookkeeper. She has kept books for different barns since 79. Shieleberg, flatnoia, la grange, edna, columbus, lexington, el campo

Oversees office on sale day. Makes sure things are put in correctly, makes sure everything is paid correctly.

“How far away are customers coming from to go to these auction barns and how do auction barns differentiate themselves”?

A: Customer come because they see numbers are growing, and they like to be “in the clique of things”. Customers also like to be taken care of. They like being talked to and catered to. The customer is always right. They put it in the computer now instead of handwritten.

Quality cattle bring buyers

Buyers come from 2-3 hours away, referio, riviera, broony

“Can you walk me through your process from the time an animal is sold to the time the seller gets paid?”

A: Person listens to auctioneer, writes down price, weighs cattle. Post ticket.

Depends on how many cattle. When it is a big bunch of cattle from one person. Bryan brings cattle, they get put into bins. They get cattle that look similar and put them into a bin, and buyers will buy them all at one time, like around ten in a bin. Puts price down on a ticket. These are “deals”. Once all are sold, she pushes a button and the computer figures out how much commission, and everything is calculated. Also these cattle have insurance so if one gets cattled, they can file and the seller already got paid a premium. Buyer can pick up 15 minutes after being sold.

Most get sold single, they come one at a time.

“What parts of that process are digital today, and what parts are still handled manually or on paper?”

A: Many still write checks and pay in checks, but usually its wire that is done later. Some with ACH. Pay within 72 hours.

“What systems, software, or tools do you currently use to manage sales, payments, and recordkeeping?”

A: There is one system that came out of Cray Crafts or Cray Crass? Computer system currently used is called Drystone computer systems. Designed in Texarkana. Most all in South Texas use this sale barn software. Easy to use/ user friendly. Plenty of techs to help with issues. They put commission in. They have to a tariff for any charges that come out of a seller's check.

There are complex things that are built into the system such as cattle being sold in pairs, single, groups like deals, and these need to be accounted for in the system.

Livestock marketing systems (LMA) has their own program.

Only deals with the sale. Sale ticket comes in, you have to post on buying and selling side so it's balanced. The program does the balancing for you, but no collecting of any money. So it calculates a net total for checks and takes into consideration all of these fees and tariffs. Used to be manual for booking keeping.

Now it takes around 30-45 minutes as long as you put everything in correctly.

Drystone does have a place where you can reconcile a bank statement from their program. She transfers things over to Quick Books and put those in manually. She has a clearing account there.

“What are the biggest pain points or inefficiencies in your current payment and settlement process?”

A: Dealing with the postal office getting payments within a week. If money isn't there within 7 days, the money has to come out of operating account until the money comes in. Getting checks back in time is the biggest pain process.

Most still cut checks. A buyer might owe over 500,000 and take the cattle with them on the day on the sale, and you are relying on the money coming in within a week otherwise you need to have good credit so the auction barn needs to take some loan from a line of credit.

“If there were a platform that allowed faster digital settlement and reduced the need for checks or cash, how open would you be to something like that?”

A: Older generation likely wouldn't be interested because “it's the way it has been done”. These auction barns don't accept credit cards because of the fees. 20+ thousand for the hardware software for Drystone, no subscription, everything included in the price when she bought the system. Older buying systems would have to ok this. 1% on a CD if you take out a loan, for

example, but it hits the auction barn, and this cost does not go to the buyer. It hits the auction barn. A cushion sometimes is put in just in case, but it wouldn't be for the whole loan amount.

Craycraft

Crocket, Athens, Buffalo, East Texas live stock (based out of crocket) use Craycraft. Paul Craycraft own east texas livestock.

Dhrystone located in texarkana very used in texas as a whole.

Barns still caught up with manual payments within the context of sale barns.

Can acknowledge at some level in the research we identified that there are accounting platforms / bookkeeping software that technology is being utilized that is custom to the industry, but payment is decades behind.

Next steps to introduce banks into ecosystem is to talk to some of the larger technology providers in the space

It is fine to mentioned that we are focusing on the payment side of auction barns and that this is decades behind and needs to be modernized/ digitized. Auction barns have some digitization with bookkeeping systems, but payment is behind.

Can mention that CSB wants to modernize this payment system, but don't get into the specifics of how this will be done.